Module 11
Financial Reporting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)

Answer 1(a)

HKFRS 3 *Business Combinations* states that the identifiable assets acquired and the liabilities assumed as part of a business combination are measured at the date of acquisition at their fair values.

HKFRS 13 *Fair Value Measurement* states that fair value of non-financial assets should take into account a market participant's ability to generate economic benefits by using the asset in its highest and best use. Highest and best use refers to the use of a non-financial asset by market participants that would maximise the value of the asset (or the group of assets and liabilities within which the asset would be used).

In this case, the Headquarters is a non-financial asset. As market participants would take into account the potential to develop the site for residential use when pricing the headquarters site, its fair value as at 1 July 2022 would then be HK$3,420 million, despite its current intended usage of the site as its office.

Answer 1(b)(i)

(in HK$ million)		Option 1: Proportionate share in the recognised amounts of the net identifiable assets		Option 2: Fair Value
Consideration		10,409		10,409
Add: Non-controlling interest as at the acquisition date *(HK$14,800 million x 30%)*		4,440		4,458
Total		14,849		14,867
Less: Fair value of net identifiable assets				
Book value of net identifiable assets	13,200		13,200	
Fair value differentials – Headquarters *(HK$3,420 million – HK$1,820 million)*	1,600	14,800	1,600	14,800
Goodwill		49		67

Answer 1(b)(ii)

Option 1: Proportionate share in the recognised amounts of the net identifiable assets

(in HK$ million)	Goodwill	Net identifiable assets	Total
Carrying amount	49	14,380	14,429
Unrecognised grossing-up goodwill attributable to the non-controlling interest *(HK$49 million ÷ 70% x 30%)*	21	-	21
Adjusted carrying amount	70	14,380	14,450
Recoverable amount			14,300
Impairment loss			150
Allocation of impairment loss:			
- Goodwill	70		
- Identifiable assets *(HK$150 million – HK$70 million)*		80	
Impairment loss recognised:			129
- Goodwill *(HK$70 million x 70%)*	49		
- Identifiable assets		80	
Impact to non-controlling interest	Nil	Reduced by HK$24 million *(HK$80 million x 30%)*	

Option 2: Fair value

(in HK$ million)	Goodwill	Net identifiable assets	Total
Carrying amount	67	14,380	14,447
Recoverable amount			14,300
Impairment loss			147
Allocation of impairment loss (with recognition of such loss):			147
- Goodwill	67		
- Identifiable assets		80	
Impact to non-controlling interest	Reduced by HK$20.1 million *(HK$67 million x 30%)*	Reduced by HK$24 million *(HK$80 million x 30%)*	

Answer 2(a)

In accordance with HKAS 20 *Accounting for Government Grants and Disclosure of Government Assistance*, the benefit of a government loan at a below-market rate of interest is treated as a government grant. Such loan is recognised and measured in accordance with HKFRS 9 *Financial Instruments*. The benefit of the below-market rate of interest is measured as the difference between:

- the initial carrying amount of the loan determined in accordance with HKFRS 9; and

- the proceeds received.

Such benefit, which is referred to as the government grant, is then accounted for in accordance with the general principles of HKAS 20. HKAS 20 requires such grant to be recognised in profit or loss on a systematic basis over the periods in which the entity recognises as expenses the related costs for which the grant is intended to compensate.

On 1 July 2023, the Loan was recognised at its fair value. The fair value, which was based on the prevailing market interest rate, was HK$2,600,000 (rounded) (HK$3,010,000 $\div$ $(1 + 5\%)^3$). The difference between this amount (HK$2,600,000) and the proceeds received (HK$3,010,000) was the benefit derived from the below-market interest. As the Loan was intended to give immediate financial support to Trillium, such benefit, with an amount of HK$410,000, should be recognised in profit or loss as grant income immediately on 1 July 2023.

The interest expense of HK$130,000 (HK$2,600,000 x 5%) was recognised in Trillium's profit or loss for the year ending 30 June 2024.

Answer 2(b)

The Subsidy was a grant related to assets, as the primary condition was that Trillium should purchase Printer I. The Subsidy was recognised on 1 July 2023 when Trillium complied with the condition attached to it and the grant was received.

HKAS 20 allows two methods of presenting government grants related to assets in the statement of financial position, namely either:

- recognising the grant as deferred income, which is recognised in profit or loss on a systematic basis over the useful life of the asset ("Option 1"); or

- deducting the grant in calculating the carrying amount of the asset, in which case the grant is recognised in profit or loss over the life of a depreciable asset by way of a reduced depreciation expense ("Option 2").

Under Option 1, Trillium recognised deferred income of HK$200,000 on 1 July 2023 and would recognise grant income of HK$25,000 (HK$200,000 ÷ 8) for the year ending 30 June 2024. Trillium would recognise an annual depreciation expense of HK$31,250 (HK$250,000 ÷ 8) in relation to Printer I.

Under Option 2, Trillium recorded a net cost of HK$50,000 (HK$250,000 – HK$200,000) for Printer I on its statement of financial position. Trillium would recognise an annual depreciation expense of HK$6,250 (HK$50,000 ÷ 8) in relation to Printer I.

Answer 2(c)

HKFRSs do not contain any guidance on how to account for free assets received under this situation. HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* states that in the absence of a HKFRS that specifically applies to a transaction, management should use judgement in developing and applying an accounting policy with reference to the following sources:

- the requirements in HKFRSs dealing with similar and related issues; and
- the definitions, recognition criteria and measurement concepts for assets, liabilities, income and expenses in the *Conceptual Framework for Financial Reporting* ("Framework").

Possible accounting policy 1: With reference to the Framework

The Framework defines an asset as a present economic resource controlled by the entity as a result of past events. It further defines an economic resource as a right that has the potential to produce economic benefits. Trillium has the present ability to direct the use of Printer II and therefore has control over it. It could use Printer II to provide value-adding services to the start-ups in the Park and therefore it qualified as an asset to be recognised on its statement of financial position at its fair value.

The Framework defines income as increases in assets (or decreases in liabilities) that result in increases in equity, other than those relating to contributions from holders of equity claims. There was an increase in asset based on the discussions above and there was no condition attached to Printer II; therefore, the entire benefit of Printer II, which was represented by its fair value, was recognised as income on 1 July 2023. It should be noted that this free asset would not be reflected directly in the equity as it was not "donated" from the shareholder of Trillium, which was consistent to the principles in HKAS 20.

Possible accounting policy 2: With reference to HKAS 16 Property, Plant and Equipment

HKAS 16 requires an item of property, plant and equipment that qualifies for recognition as an asset to be measured at its cost, which comprises its purchase price. As Trillium obtained Printer II at no cost, it is possible to develop an accounting policy not to recognise Printer II on its financial statements.

(Note: There may be other possible accounting policies in practice. Other valid answers will be awarded with credits.)

Answer 3

REPORT

Introduction

Snapdragon acquired all the ordinary shares of Ulex Limited ("Ulex"), which held a portfolio of two residential homes and an office park containing two office buildings, on 30 June 2023. This report first explains the technical concepts in relation to what a business is in HKFRS 3 *Business Combinations,* followed by an analysis as to whether the acquisition of Ulex is a business combination or an asset acquisition. The report then provides a conclusion in relation to how this acquisition should be accounted for in the consolidated financial statements of the Group.

1. Definition of business

HKFRS 3 *Business Combinations* defines a business as an integrated set of activities and assets that is capable of being conducted and managed for the purpose of:

- providing goods (or services) to customers,
- generating investment income; or
- generating other income from ordinary activities.

HKFRS 3 further states that to be considered a business, an integrated set of activities and assets must include, at a minimum, an input and a substantive process that together significantly contribute to the ability to create output. Outputs are, however, not required for an integrated set to qualify as a business.

2. Assessing whether Ulex qualified as a business

The legal form of the acquisition is not a determining factor when assessing whether a transaction is a business combination or not. It is therefore critical to assess whether the acquisition of Ulex consisted of inputs and a substantive process.

HKFRS 3 refers to inputs as any economic resource that creates outputs. In our case, the non-current assets (i.e., the residential homes and the office park), in-place lease contracts, acquired contracts for maintenance, and administrative services were regarded as inputs.

Processes are defined in HKFRS 3 as any system, standard, protocol, convention or rule that when applied to an input (or inputs) creates outputs (or has the ability to contribute to the creation of outputs). Processes typically are documented, but the intellectual capacity of an organised workforce with the necessary skills and experience following rules and conventions may provide the necessary processes that are capable of being applied to inputs to create outputs.

HKFRS 3 further provides guidance on how to evaluate whether a substantive process is present, differentiating between transactions with outputs and those with no outputs. In this case, since there were leases in place for both the residential homes and office park buildings, it should be concluded that there were outputs as at the acquisition date. HKFRS 3 then states that if there are outputs as at the acquisition date, an acquired process is considered substantive where, either:

- the process is critical in continuing to produce outputs and the input includes an organised workforce with the necessary skills, knowledge or experience to perform that process; or

- the process significantly contributes to the ability to continue to produce outputs and is unique or scarce or cannot be replaced without significant cost.

In our acquisition of Ulex, the critical process of the leasing business which usually refers to the property management was not taken over. The processes performed by the outsourced maintenance and administrative personnel were ancillary (or minor) in the context of generating rental income. Further, the maintenance services did not significantly contribute to the ability to generate rental income and also could be replaced without significant cost. It could then be concluded that no substantive process was acquired and therefore the group of assets acquired in this acquisition was not a business.

3. Accounting treatments of an asset acquisition

HKFRS 3 requires an acquirer in an acquisition of a group of assets which does not constitute of a business to allocate the cost to the individual identifiable assets (and liabilities) on the basis of their relative fair values at the date of purchase. In accordance with HKAS 40 *Investment Property*, Snapdragon should account for the transaction as the purchase of individual investment properties, as the residential homes and the office buildings are to be held to earn rentals. HKAS 40 requires an owned investment property be measured initially at its cost with the direct attributable costs being included in the initial measurement. Snapdragon should therefore allocate the purchase price to the individual properties on the basis of their relative fair values. The transaction cost, being the directly attributable cost, should form part of such costs of the assets.

Answer 4

If Ophelia follows Theo's recommendations, the following fundamental principles within the *Code of Ethics for Professional Accountants* would be violated:

- Integrity

A professional accountant should be straightforward and honest in all professional and business relationships. Specifically in this case, Ophelia should not knowingly be associated with the ESG report which she believes that the information contains a materially false or misleading statement (e.g., the manipulated key performance indicators and the non-disclosure of the occupational accidents).

- Objectivity

A professional accountant should exercise professional or business judgement without being compromised by bias, conflicts of interest or undue influence of individuals or other factors. Specifically in this case, though Ophelia is likely to be facing self-interest threat relating to her career (i.e., promotion next year), she should not allow such threat to inappropriately influence her behaviour.

- Professional competence and due care

A professional accountant has to attain and maintain professional knowledge and skill at the level required to ensure that the employing organisation receives competent professional service, based on current technical and professional standards and relevant legislation. Specifically in this case, Ophelia should keep herself updated with the latest requirements in preparing the ESG report, even though non-financial disclosures may be a domain outside of the traditional duties of professional accountants.

Further, the following reporting principles in the *ESG Reporting Guide* under the listing rules would be violated as well:

- Balance

The ESG report should provide an unbiased picture of the organisation's performance. Specifically in this case, the Group should avoid omissions of the "bad news" (i.e., the occupational accidents) that may inappropriately influence a decision or judgement by the report reader.

- Consistency

An organisation should use consistent methodologies to allow meaningful comparisons of ESG data over time. Specifically in this case, the Group should disclose in the ESG report any changes to the calculation methodology if such change is deemed appropriate.

* * * END OF SECTION A * * *

<u>SECTION B – ESSAY / SHORT QUESTIONS</u> **(Total: 50 marks)**

<u>Answer 5</u>

<u>Onerous contract</u>

I would disagree with Lucius. The calculation only took into account incremental costs but when assessing whether there is an onerous contract, we would also need to consider other allocated costs that relate directly to fulfilling the contract.

Under HKAS 37 para. 10, an onerous contract is a contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it. According to HKAS 37 para. 68, the unavoidable costs under a contract reflect the least net cost of exiting from the contract, which is the lower of the cost of fulfilling it and any compensation or penalties arising from failure to fulfil it.

Based on HKAS 37 para. 68A, the cost of fulfilling a contract comprises the costs that relate directly to the contract. Costs that relate directly to a contract consist of both:

(a) the incremental costs of fulfilling that contract - for example, direct labour and materials; and

(b) an allocation of other costs that relate directly to fulfilling contracts – for example, an allocation of the depreciation charge for an item of property, plant, and equipment used in fulfilling that contract, among others.

The costs related directly to the contract in this case should be HK$105 million. This includes incremental costs that comprise salaries of the people hired solely for the project (HK$25 million); cost of materials for building the lighting structure (HK$40 million); depreciation charges of specific equipment involved in the contract (HK$15 million); as well as the allocated costs related directly to fulfilling the contract, which include the allocated salaries of head quarters' staff (HK$15 million) and allocated deprecation of PPE used to fulfil the contract (HK$10 million).

The net cost of fulfilling the contract = Cost of fulfilling the contract (HK$105 million) – Economic benefits expected to be received HK$100 million = HK$5 million.

The net cost of exiting the contract = penalty HK$30 million.

Under HKAS 37, LL would need to recognise a provision for an onerous contract of HK$5 million at 31 December 2022.

<u>Impairment</u>

I disagree with Lucius. Solely because the company is expected to be profit-making does not necessarily mean that there is no need to test for impairment, and therefore we might arrive at a different accounting outcome compared to what he thought.

According to HKAS 37 para. 69, before a separate provision for an onerous contract is established, an entity recognises any impairment loss that has occurred on assets used in fulfilling the contract.

Even though the company is expected to be profit making, given the economic downturn, the carrying amount of the equipment involved might not be recoverable, especially when the contract is assessed to be onerous.

According to HKAS 36 *Impairment of Assets*, LL would need to assess the recoverable amount, which is the higher of value-in-use and fair value less the cost of disposal of the equipment/ cash-generating unit ("CGU") to which they belong.

An impairment loss would need to be recognised if the recoverable amount is lower than their respective carrying amount.

Since the equipment is specific to the project, there is a possibility that it belongs to a specific CGU.

If that is the case, the recoverable amount of the CGU needs to be calculated and compared with the corresponding carrying amount. Any impairment loss would then need to be allocated pro-rata to the assets in the CGU that are within the scope of HKAS 36 *Impairment of Assets*.

<u>Expected credit losses on receivable from BTL</u>

I disagree with Lucius. Even if the balance is assessed to be recoverable, it does not mean that no loss allowance should be recognised over the receivable from BTL (i.e., the customer).

Expected credit loss measurement is not meant to convey the loss an entity anticipates on a financial asset. Instead, it is a statistical measure based on a range of outcomes and probability-weighted loss amounts.

Under HKFRS 9 para. 5.5.17, an entity shall measure expected credit losses of a financial instrument in a way that reflects:

(a) an unbiased and probability-weighted amount that is determined by evaluating a range of possible outcomes;

(b) the time value of money; and

(c) reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions, and forecasts of future economic conditions.

Even though BTL is rated AAA (i.e., low credit risk), the amount receivable is not totally risk free.

Therefore, based on a probability-weighted calculation from a range of possible outcomes, loss allowance would not be zero.

Answer 6(a)

According to HKFRS 11 *Joint Arrangements* ("HKFRS 11") para. 4, a joint arrangement is an arrangement of which two or more parties have joint control.

HKFRS 11 para. 5 mentions that a joint arrangement has the following characteristics:

(a) The parties are bound by a contractual arrangement.

(b) The contractual arrangement gives two or more of those parties joint control of the arrangement.

Joint control is the contractually agreed sharing of control of an arrangement which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control. [HKFRS 11 para. 7]

A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets, and obligations for the liabilities, relating to the arrangement. Those parties are called joint operators. [HKFRS 11 para. 15]

Under HKFRS 10 *Consolidated Financial Statements* ("HKFRS 10") Appendix A, relevant activities are activities of the investee that significantly affect the investee's returns.

An investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. [HKFRS 10 para. 6]

Before determining the classification and accounting of the investment in DL, AL must first determine whether the arrangement is a joint arrangement where joint control exists.

Based on the capital contribution by each party, AL, BL and CL each own proportions of 45:35:20 in DL, which corresponds to their respective voting rights.

75% vote are required for approving operating and capital decision of DL, including sales plan and annual budgets, and appointment and removal of directors. These are relevant activities of DL as they are activities that significantly affect DL's returns.

AL and BL collectively control the arrangement because decisions about the relevant activities cannot be made without AL and BL coming into agreement (i.e. unanimous consent), as it is not possible to otherwise achieve the 75% voting rights threshold.

Therefore, this contractual arrangement implicitly gives AL and BL control of the arrangement and AL and BL have joint control.

The rights and obligations under the arrangement need to be taken into account when classifying the joint arrangement. It is noted that:

- The arrangement is structured in a separate vehicle (DL as a limited liability company).

- The legal form of the separate vehicle does not give the parties rights to the assets and obligations for the liabilities of DL.

- As a limited company, the liabilities of DL that are borne by AL and other shareholders would be limited to its share capital.

- The fact pattern is also silent on whether there are terms under the arrangement that change the rights conferred by the legal form of the vehicle.

- DL appears to be dependent on its shareholders for future cash flows through the sale of all its products to them at cost. It is also dependent on the shareholders to fund the settlement of its liabilities through cash calls. The exclusive dependence on the investors for the generation of cash flows and the parties' commitments to provide funds when there is any shortage in cash indicate that the parties have an obligation for the liabilities of the arrangement.

- The investors are obliged to purchase all the products produced by DL. Accordingly, the investors have rights to substantially all the economic benefits of the assets of the arrangement.

Based on the substance of the arrangement, the investors in DL will have rights to the assets, and obligations for the liabilities relating to the arrangement, therefore, it is a joint operation.

AL recognises the following in relation to its interest in DL:

- assets, including its share of any assets held jointly;

- liabilities, including its share of any labilities incurred jointly;

- revenue from sale of its share of the output by DL;

- share of the revenue from the sale of the output by DL; and

- expenses, including its share of any expenses incurred jointly.

[HKFRS 11 para. 20]

AL shall account for the assets, liabilities, revenues and expenses relating to its interest in DL in accordance with the HKFRSs applicable to the particular assets, liabilities, revenues and expenses. [HKFRS 11 para. 21]

Equity accounting does not apply, as DL is a joint operation.

Answer 6(b)

According to HKAS 24 *Related Parties Disclosures* para. 11(b) and (d), the following are not related parties:

- Two joint venturers, simply because they share joint control of a joint venture

- A customer, supplier, franchiser, distributor or general agent with whom an entity transacts a significant volume of business, simply by virtue of the resulting economic dependence.

Therefore, without other facts indicating otherwise, BL merely shares joint control with AL, and it is not a related party to AL.

As for the major supplier, simply by virtue of the volume of goods supplied to DL does not make it a related party to DL in the first place. Without other evidence, it is also not a related party to AL.

Answer 7(a)

According to HKFRS 5 Non-current Assets Held-for-sale and Discontinued Operations ("HKFRS 5"), an entity shall classify a non-current asset (or disposal group) as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use. [HKFRS 5 para. 6]

For this to be the case, the asset (or disposal group) must be available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such assets (or disposal groups) and its sale must be highly probable. [HKFRS 5 para. 7]

For the sale to be highly probable, the appropriate level of management must be committed to a plan to sell the asset (or disposal group), and an active programme to locate a buyer and complete the plan must have been initiated. Further, the asset (or disposal group) must be actively marketed for sale at a price that is reasonable in relation to its current fair value. In addition, the sale should be expected to qualify for recognition as a completed sale within one year from the date of classification, except as permitted by paragraph 9, and actions required to complete the plan should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn. The probability of shareholders' approval (if required in the jurisdiction) should be considered as part of the assessment of whether the sale is highly probable. [HKFRS 5 para. 8]

Events or circumstances may extend the period to complete the sale beyond one year. An extension of the period required to complete a sale does not preclude an asset (or disposal group) from being classified as held for sale if the delay is caused by events or circumstances beyond the entity's control, and there is sufficient evidence that the entity remains committed to its plan to sell the asset (or disposal group). This will be the case when the criteria in Appendix B are met. [HKFRS 5 para. 9]

I disagree with management's view – the disposal group should be classified as current under the requirements of HKFRS 5.

Even though there were open contracts, there is no evidence that indicates the sale of the disposal group was held up because of these contracts, nor was there any requirement for the contracts to be completed before the sale could go ahead. Therefore, the disposal group was available for sale in its current conditions as of 30 June 2023.

At 30 June 2023, the appropriate level of management was already committed to a plan to sell the asset (or disposal group), as approvals were already obtained from the directors and shareholders.

An active programme to locate a buyer and complete the plan was already initiated since August 2022.

The disposal group was already actively marketed for sale at a price that is reasonable in relation to its current fair value. Even though the selling price needed to be adjusted downwards a number of times, CGL remained committed to the sale by reducing the price according to the market.

The sale was originally expected to be completed within one year from the date of classification. The change in market condition was outside the control of CGL – and management of CGL already confirmed their commitment to sale through price reduction.

With the multiple reduction in pricing, it is demonstrated to be unlikely that significant changes to the plan will be made, or that the plan will be withdrawn.

So the sale is highly probable as of 30 June 2023.

Therefore, the disposal group meets the criteria of being classified as held-for-sale as of 30 June 2023.

This is regardless of the fact that the contract was signed after the year, especially when the delay in the signing was only caused by administrative reasons.

Answer 7(b)

Under HKAS 1 Presentation of Financial Statements para. 69(c) and (d), an entity shall classify a liability as current when the liability is due to be settled within twelve months after the reporting period; or when it does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period.

Under HKAS 1 para. 72, an entity classifies its financial liabilities as current when they are due to be settled within twelve months after the reporting period, even if:

(a) the original term was for a period longer than twelve months, and

(b) an agreement to refinance or to reschedule payments on a long-term basis is completed after the reporting period, and before the financial statements are authorised for issue.

Under HKAS 1 para. 74, when an entity breaches a provision of a long-term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand, it classifies the liability as current. This applies even if the lender agreed, after the reporting period and before the authorisation of the financial statements for issue, not to demand payment as a consequence of the breach.

As of 30 June 2023, due to the breach in the loan covenant, the borrowing had become repayable on demand. CGL does not have the right to defer settlement of the loan beyond 12 months, even though negotiation was underway to extend the maturity of the loan.

I disagree with management that the loan is to be classified as non-current.

By virtue of HKAS 1 para. 72, since the terms of the modified loan contract were not signed until after the year end date, the loan would have been classified as current even though negotiation to extend the loan was under way on 30 June 2023.

Whether the modification was substantial would have no impact on CGL's financial statements for the year ended 30 June 2023 other than disclosures as required by HKAS 10 para. 21 in respect of the nature of the event and an estimate of its financial effect if it is material.

As of 30 June 2023, the modified loan contract was not yet signed, so even if the modification was substantial, the original loan would not have been derecognised. [HKFRS 9 para. B3.3.6]

* * * END OF EXAMINATION PAPER * * *